



# Periodic Average Costing

## Session 2 – Transaction Processing and Period End

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# Agenda

## Session 1 (5/31)

- Periodic Average Costing – Overview
- Setting up Periodic Average Costing
- Comparison of Periodic Average Costing to Perpetual Methods
- Roadmap

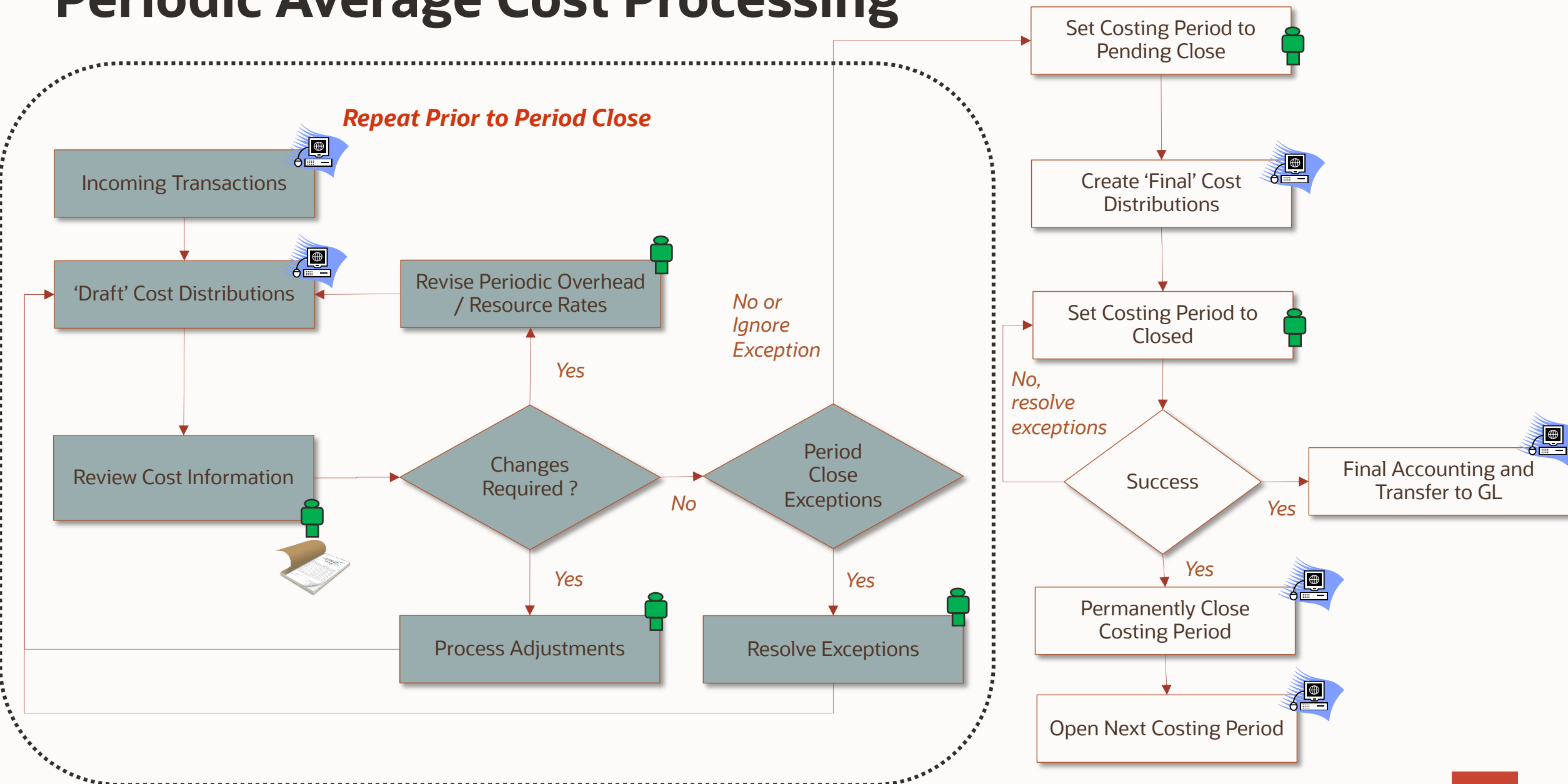
## Session 2 (Today 6/30/22)

- Transaction Flows and How they Work
- Period-end Processing
- Comparison of Periodic Average Costing to E-Business Suite PAC and PMAC

# Recap

- Periodic Average Cost is a new cost method introduced in 22C
- Incorporates features from both PAC and PMAC
- Helps to achieve full absorption costing
- Concepts covered in previous session
  - Cost organization is a logical grouping of inventory organizations
  - Need to mark a cost book as Periodic Average Cost Book
  - All items in a cost org + periodic average cost book to use only periodic average cost profiles
  - Cost Organization and Cost Organization + Inventory Org level supported for periodic average
  - Cost Accounting periods inherited from ledger and managed in Cost Accounting Periods page
    - Never Opened -> Open <-> Pending Close -> Close -> Final Closed

# Periodic Average Cost Processing



# Periodic Average Cost

## Periodic Average Cost

$$\frac{(\text{Prior Period Cost} * \text{Opening Quantity}) + \text{Sum of Current Period } (\text{Transaction Cost} * \text{Transaction Quantity}) + \text{Adjustments}}{(\text{Opening Quantity} + \text{Sum of Current Period Cost Owned Transaction Quantity})}$$

- **Cost owned** transactions come with a cost and participate in periodic average cost calculation
  - Example: Purchase Order Receipt, Miscellaneous Transactions with cost, Purchase Order Returns, Sales Returns in different periods
  - Other transactions: User created adjustments, Acquisition Cost Adjustments
- Prior period cost and opening quantity used to incorporate the effect of opening balances
- **Cost derived** transactions use the calculated periodic average to cost transactions
  - Examples: Sales Order Issue, Miscellaneous Transactions without cost, WIP Material Issue, Unreferenced RMA, RMA within same period

# Inventory Transactions

## Cost-owned transactions considered for computation of cost

- Miscellaneous Receipt with cost such as Account Alias
- Miscellaneous Issues with cost
- Transfer Issues and Receipts across organizations

## Cost derived transactions

- Miscellaneous Receipts without cost
- Miscellaneous Issues without cost
- Subinventory transfers within VU

- Examples of Subinventory transactions
  - All Pick transactions (Move orders, Sales Orders, Transfer orders)
  - Subinventory transfers
  - Lot Split/Merge/Translate
  - Grade change transactions
- Examples of Miscellaneous Transactions
  - Account Alias
  - Cycle count adjustments
  - Physical Inventory adjustments

# Internal Material Transfers

## Efficiently Process Transfers Without Recursive Iterations for High Performance

### Intra-VU transfers

- Transfers within the valuation unit (VU) will be treated as follows
  - Intransit transfers (inter-org or intra-org): Cost owned. Cost using prior period cost
  - Direct transfers (inter-org): Cost owned. Cost using prior period cost
  - Direct transfers (intra-org): Cost derived
- When a transfer within a VU is treated as cost derived, overhead rules of type inventory, if any, will be ignored

### Inter-VU transfers

- Transfers across VU are cost owned transactions. Options to derive transfer price:
  - Cost-based: Using prior period cost
  - Transfer price based: Using transfer price from SFO

# Purchasing Transactions

## Cost-owned transactions considered for computation of cost

- PO receipts
- Return to vendor
- Acquisition cost changes
- Receipt cost adjustments
- Receipt corrections

## Acquisition costs include

- PO price / Fiscal document price
- Non-recoverable taxes
- AP Variances
- Landed cost charges
- Freight fiscal documents (Brazil)

- Acquisition cost adjustments / charges considered as value adjustments
  - Prior period cost adjustments (e.g. IPV is in different period than receipt) are considered as value adjustment in computation of current period cost
- Return to vendor is a cost owned transaction
- Returns without Receipt reference considered as cost derived

# Order to Cash flow

- No change in behavior of sales order issue or COGS recognition events
- Sales Order Issues costed with current period cost (Cost Derived)
- COGS Recognition will use the sales order issue cost and does not participate in cost calculation
- Sales Order Issue and COGS recognition will be reset every time the cost processor recalculates periodic average cost
- RMA receipts
  - Within same period (issue and receipt in same period) are classified as cost derived
  - Across periods (issue in one period and return in another period) are cost owned
- Internal Drop Ship flows (the shipping BU and order BU are different)
  - Sales Order Issue – Cost owned

# Manufacturing and Maintenance Processes

## Transactions considered for computation of product costs

- Component issues and returns
- Resource charges and reversals
- WIP cost adjustments

## Work Methods and types supported

- **Discrete Manufacturing**
  - Standard
  - Non-standard
  - Orderless completions
  - Rework
  - Transform
- **Process**
  - Primary products, co-products and by-products
- **Maintenance**

- Product cost is computed as below –
  - Work order close (if the close happens in the same period), at actuals incurred
  - End of period using Provisional Completion option, if work order close not available
- Provisional completion options –
  - Accumulated WIP (22D)
  - Prior period cost
  - Fixed cost
- WIP cost adjustments are created when product completions and work order close in different periods
  - Will be treated as value adjustment in computation of periodic average
- Work order costs will be recalculated every single time cost processor is run
- Scrap can be included within value of inventory or expensed (22D)

# User Cost Adjustments

## User Cost Adjustments

- Update opening cost of an item
- Perform a lumpsum adjustment through a value adjustment
- Adjustments can be created through UI or REST or using VBCS Excel Addin

### PAC Formula

(**New** Prior Period PAC \* Opening Qty) + Sum of Current Period (Trx Cost \* Trx Qty) + **Value Adjustment**

-----  
(Opening Qty + Sum of Current Period Trx Qty)

# Automatic Cost Adjustments

## Automatic Adjustments

- Acquisition cost adjustments due to Invoice Price Variance, Complimentary FDs, Landed Costs, PO Price Changes etc
- Product Cost Adjustments for out of period product completions
- Variance adjustments, when either item’s quantity or inventory value becomes zero

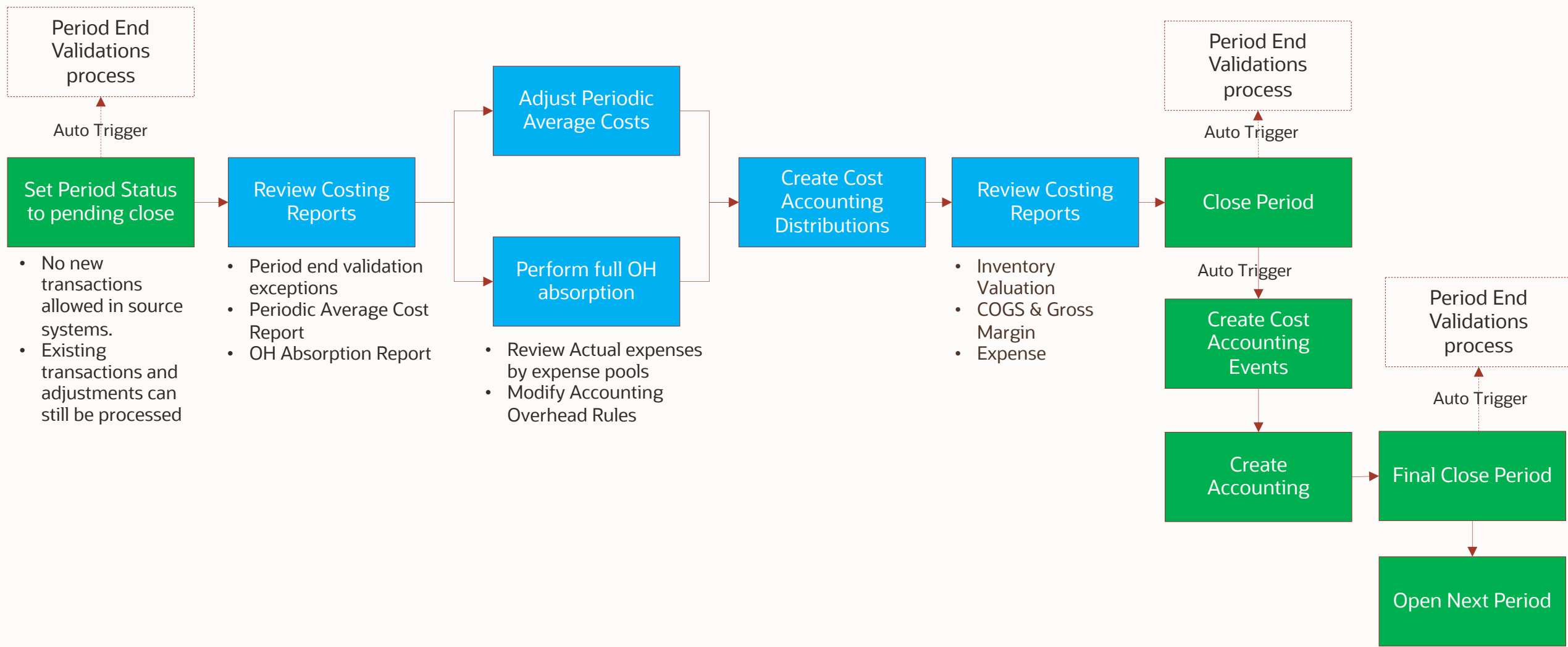
| Quantity | Total Inventory Value | Variances                                   | PAC    |
|----------|-----------------------|---------------------------------------------|--------|
| >0       | >0                    | No variances                                |        |
| <0       | <0                    | No variances                                |        |
| >0       | <0                    | Variance gain to bring inventory value to 0 | PAC=0* |
| <0       | >0                    | Variance loss to bring inventory value to 0 | PAC=0* |
| =0       | >0                    | Variance loss to bring inventory value to 0 | PAC=0* |
| =0       | <0                    | Variance gain to bring inventory value to 0 | PAC=0* |

\* All cost derived transactions will be costed with a 0 cost

(Prior Period PAC \* Opening Quantity) + Sum of Current Period (Transaction Cost \* Transaction Quantity) + Cost Adjustments
-> Total Inventory Value



# Period End process for periodic average costing



# Period end validations

**Close Period Pending**

|                          |             |                          |               |
|--------------------------|-------------|--------------------------|---------------|
| <b>Cost Organization</b> | ZCST-Boston | <b>Accounting Period</b> | Jun-22        |
| <b>Cost Book</b>         | PAC-CB      | <b>Current Status</b>    | Open          |
| <b>Year</b>              | 2022        | <b>New Status</b>        | Pending close |

**Validations**

|                                                                  |                                                                                          |
|------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <input checked="" type="checkbox"/> Pending Preprocessing        | <input checked="" type="checkbox"/> Completed Work Orders Not Closed                     |
| <input checked="" type="checkbox"/> Pending Interface            | <input checked="" type="checkbox"/> Pending Accounting Overhead Rates Absorption         |
| <input checked="" type="checkbox"/> Pending Cost Processing      | <input type="checkbox"/> Pending Accounting Event Creation                               |
| <input type="checkbox"/> Pending Create Accounting in Final Mode | <input checked="" type="checkbox"/> Pending Resource Rates and Standard Costs Absorption |
| <input checked="" type="checkbox"/> Pending DCOGS Transactions   |                                                                                          |

- Period end validations invoked when you change period status from Open -> Pending Close too
- New validations to ensure that all changes to overhead rates and resource rates have been considered for periodic average cost calculations
- Validation for Final Accounting gets triggered only for Final Close

# Review Item Costs

Review PaCurrency = USD

Review Transaction Costs ?Currency = USD

Done

Cost Organization ZCST-Seattle

Cost Book PAC-DEMO

Item PAC-Tablet 8 GB

Total Unit Cost 447.52232 USD

Valuation Structure Code ZCST-Inv-Org-Asset

Valuation Unit ORG11-M1

Cost Method Periodic average

Period May-22

Prior Period Unit Cost 450.00000 USD

Prior Period On-hand Quantity 50.00000

Prior Period Adjusted Cost 0.00000 USD

UOM Name Each

Cost Details

Cost Details

cost elements

View

View

Format

Freeze

Detach

Wrap

Compare (0)

| Cost Eleme | Cost Element      | Compare                  | Source                             | Document Number | Reference Type | Reference Number | Transaction Date | Transaction Quantity | Transaction Cost | Currency | Unit Cost | Currency |
|------------|-------------------|--------------------------|------------------------------------|-----------------|----------------|------------------|------------------|----------------------|------------------|----------|-----------|----------|
| ▶ Mate     | ▶ 5/31/22 2:01 PM | <input type="checkbox"/> | Work in Process Product Completion | 22853072        | WO             | PAC-DEMO-04      | 5/31/22 6:01 PM  | 1.00000              | 180.00000        | USD      | 426.07143 | USD      |
| ▶ Over     | ▶ 5/31/22 1:48 PM | <input type="checkbox"/> | Work in Process Product Completion | 22853002        | WO             | PAC-DEMO-WO3     | 5/31/22 5:48 PM  | 1.00000              | 492.52232        | USD      | 7.34375   | USD      |
| ▶ Resc     | ▶ 5/31/22 7:14 AM | <input type="checkbox"/> | Work in Process Product Completion | 22851956        | WO             | PAC-DEMO-WO1     | 5/31/22 11:14 AM | 5.00000              | 467.25000        | USD      | 14.10714  | USD      |
| Total Cost |                   |                          |                                    |                 |                |                  |                  |                      |                  |          | 447.52232 |          |

5/31/22 2:01 PM: Details

Cost Breakdown

Cost History

Cost Information

View By

All cost elements

Show Table

?

By Cost Elements

ZCST-MATERIAL

Direct Equipment

Direct Labor

Direct Labor, 1.13590%

Direct Equipment, 2.06897%

ZCST-MATERIAL, 96.79513%



# Review Periodic Average Cost Report

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## Periodic Average Cost Report

|                                                        |                   |
|--------------------------------------------------------|-------------------|
| Cost Organization                                      | 404-CO            |
| Cost Book                                              | 111-CB-0625220346 |
| Period                                                 | Jun-22            |
| Item category                                          |                   |
| Item                                                   |                   |
| Include Items with No Change in Cost from Prior Period | No                |
| Valuation Type                                         |                   |
| Cost Summarization Option                              | Summarized        |

|                              |                         |
|------------------------------|-------------------------|
| Report Date                  | 6/29/22 10:53 AM        |
| Run By                       | cost_acct_all_cost_orgs |
| Last Cost Processor Run Date | 6/28/22 10:37 AM        |

Periodic Average Cost (H) = (C\*\*E+F+G)/(A+D)  
 Periodic Average Cost (H) = (B+E+F+G)/(A+D) \*\*when C is null

| Item Category | Item                | Valuation Unit | Valuation Unit Type | Costing UOM | Cost Element Type | Cost Element | Beginning Balances |               |                    |               |                    | Cost Owned Transactions |           | Adjustment Value (F) | Period Variance Adjustments (G) | Periodic Average Cost (H) | Currency | Cost Change% |
|---------------|---------------------|----------------|---------------------|-------------|-------------------|--------------|--------------------|---------------|--------------------|---------------|--------------------|-------------------------|-----------|----------------------|---------------------------------|---------------------------|----------|--------------|
|               |                     |                |                     |             |                   |              | Quantity (A)       | Original Cost | Original Value (B) | Adjusted Cost | Adjusted Value (C) | Quantity (D)            | Value (E) |                      |                                 |                           |          |              |
| Uncategorized | 111-Item-0625222303 | 404\CO-404     | ASSET               | Each        | All               | All          | 198.00000          | 13.50505      | 2,674.00           |               | 0.00               | 102.00000               | 2,126.00  | 0.00                 | 0.00                            | 16.00000                  | USD      | 18.47        |

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## Periodic Average Cost Detail Report

|                           |                     |
|---------------------------|---------------------|
| Cost Organization         | 404-CO              |
| Cost Book                 | 111-CB-0625220346   |
| Period                    | Jun-22              |
| Item                      | 111-Item-0625222303 |
| Valuation Unit            | 404\CO-404          |
| Valuation Type            |                     |
| Cost Summarization Option | None                |

|                              |                         |
|------------------------------|-------------------------|
| Report Date                  | 6/29/22 11:03 AM        |
| Run By                       | cost_acct_all_cost_orgs |
| Last Cost Processor Run Date | 6/28/22 10:37 AM        |

|                               |                |
|-------------------------------|----------------|
| Prior Period Unit Cost        | 13.50505 USD   |
| Prior Period On-hand Quantity | 198.00000 Each |
| Current Period Unit Cost      | 16.00000 USD   |

| Valuation Type | Transaction Type                         | Document Reference Number | Transaction Number             | Cost Element Type | Cost Element  | Costing UOM | Costed Quantity | Unit Cost | Value    | Currency | Transaction Date | Costed Date | Accounted Date |
|----------------|------------------------------------------|---------------------------|--------------------------------|-------------------|---------------|-------------|-----------------|-----------|----------|----------|------------------|-------------|----------------|
| ASSET          | Miscellaneous Receipt                    | 22978071                  | Miscellaneous account-22978071 | MATERIAL          | ZCST-MATERIAL | Each        | 100.00000       | 21.00000  | 2,100.00 | USD      | 28-Jun-2022      | 27-Jun-2022 | 27-Jun-2022    |
| ASSET          | Transfer Order Intraorganization Receipt | 275096                    | Subinventory transfer-22978149 | MATERIAL          | ZCST-MATERIAL | Each        | 2.00000         | 13.00000  | 26.00    | USD      | 28-Jun-2022      | 28-Jun-2022 | 28-Jun-2022    |
| ASSET          | Transfer Order Intraorganization Receipt | 275096                    | Subinventory transfer-22978154 | MATERIAL          | ZCST-MATERIAL | Each        | 3.00000         | 13.50505  | 40.52    | USD      | 28-Jun-2022      | 28-Jun-2022 | 28-Jun-2022    |



# Overhead Absorption Report

Ledger

--Select Value-- ▾

Cost Organization

PAC-Demo-CostOrg ▾

Cost Book

Periodic Average ▾

Expense Pool

--Select Value-- ▾

\* From Date

02/01/2022

\* To Date

02/28/2022

OK

Reset ▾

## Overhead Absorption Summary Report

| Ledger                  | Cost Organization | Cost Book        | Expense Pool      | Absorption Account | Total Overhead absorbed | Functional Currency |
|-------------------------|-------------------|------------------|-------------------|--------------------|-------------------------|---------------------|
| Vision Operations (USA) | PAC-Demo-CostOrg  | Periodic Average | P2P_Exp_Pool      |                    | -14,429.502             | USD                 |
|                         |                   |                  | RCL Expense Pool2 |                    | -2                      | USD                 |

Edit - Refresh - Print - Export - Add to Briefing Book - Email - Copy



# Overhead Absorption Details

## Overhead Absorption Details Report

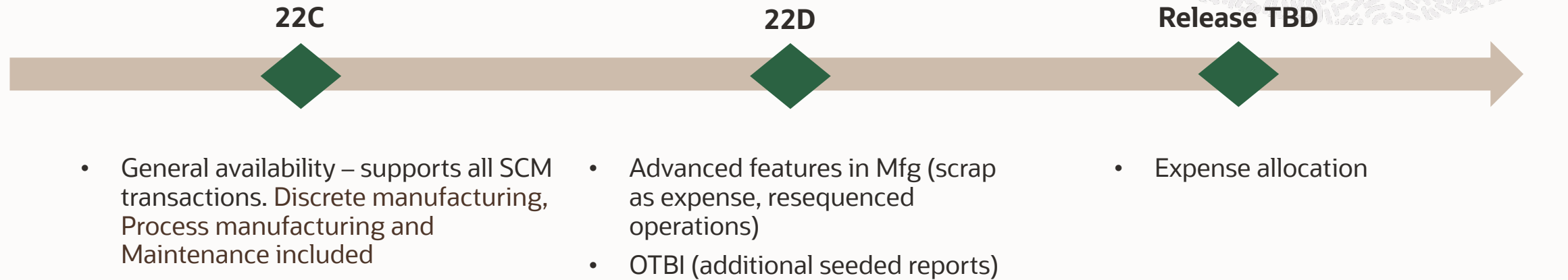
Time run: 2/23/22 10:45 AM

| Ledger                  | Cost Organization | Cost Book        | Expense Pool | Absorption Account | Overhead Rule  | Cost Element    | Inventory Organization | Item    | Transaction Number | Reference Document | Transaction Type       | Transaction Date | Cost Date | Accounting Date | Costed Quantity | Cost UOM | Overhead absorbed | Functional Currency |  |  |  |  |
|-------------------------|-------------------|------------------|--------------|--------------------|----------------|-----------------|------------------------|---------|--------------------|--------------------|------------------------|------------------|-----------|-----------------|-----------------|----------|-------------------|---------------------|--|--|--|--|
| Vision Operations (USA) | PAC-Demo-CostOrg  | Periodic Average | P2P_Exp_Pool |                    | PAC-Demo-Rule1 | ZCST-ELECTRICAL | PAC-Demo-InvOrg        | AS92888 | RCV-1              | 1007338            | Purchase Order Receipt | 2/22/22 4:08 AM  | 2/21/22   | 2/21/22         | 15              | Each     | -750              | USD                 |  |  |  |  |
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|                         |                   |                  |              |                    |                |                 |                        |         |                    |                    |                        |                  |           |                 |                 |          |                   |                     |  |  |  |  |

# Cloud Periodic Average Cost and EBS Equivalence

|                      | Cloud                                                                                                                                                                                                                                                                          | EBS                                                                                                                                                                                                                                                                                                                                                                                  |
|----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cost sharing         | <ul style="list-style-type: none"> <li>Cost organization - by profit center BU</li> </ul>                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Cost Group - by legal entity</li> </ul>                                                                                                                                                                                                                                                                                                       |
| Accounting           | <ul style="list-style-type: none"> <li>Using SLA</li> </ul>                                                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>Did not leverage SLA</li> </ul>                                                                                                                                                                                                                                                                                                               |
| Iterative processing | <ul style="list-style-type: none"> <li>Use prior period PAC as estimation for transfer cost for cost-based transfers</li> </ul>                                                                                                                                                | <ul style="list-style-type: none"> <li>Use prior period PAC</li> <li>Iterative processing</li> </ul>                                                                                                                                                                                                                                                                                 |
| Adjustments          | <ul style="list-style-type: none"> <li>Two types of adjustments that should cover all forms of adjustments that were in PAC / PMAC                             <ul style="list-style-type: none"> <li>Value adjustments</li> <li>Opening PAC adjustment</li> </ul> </li> </ul> | <ul style="list-style-type: none"> <li>PAC / PMAC – Value adjustments</li> <li>PMAC only - Adjustments with quantity</li> <li>PAC only – Override prior period cost                             <ul style="list-style-type: none"> <li>Override</li> <li>Adjustment % (not scoped in Fusion)</li> </ul> </li> <li>PMAC only – current PAC override (not scoped in Fusion)</li> </ul> |
| Allocations          | <ul style="list-style-type: none"> <li>Planned in phase 2 - several incremental features than EBS. Option for partner solution</li> </ul>                                                                                                                                      | <ul style="list-style-type: none"> <li>PMAC only – GL expense allocations</li> </ul>                                                                                                                                                                                                                                                                                                 |
| Manufacturing costs  | <ul style="list-style-type: none"> <li>Relieve WIP to completion using                             <ul style="list-style-type: none"> <li>Actual materials and resources</li> <li>Prior period PAC</li> <li>Fixed Cost</li> </ul> </li> </ul>                                  | <ul style="list-style-type: none"> <li>Material relief algorithm –                             <ul style="list-style-type: none"> <li>Actual materials</li> <li>Standard materials</li> </ul> </li> </ul>                                                                                                                                                                            |
| Period close         | <ul style="list-style-type: none"> <li>Concept of a 'Pending Close' status to eliminate new transactions in current period</li> </ul>                                                                                                                                          | <ul style="list-style-type: none"> <li>No pending close concept</li> </ul>                                                                                                                                                                                                                                                                                                           |

# Roadmap – Periodic Average Costing



## General Availability in 22C

- Permanent opt-in
- New customers can adopt the solution as is
- Customers transitioning from a non-PAC primary method, can work with PD to make the switch

## Not doing –

- Expense allocation (plan as part of the larger cost to serve / cost planning initiative). Partner play until then
- Iterative PAC for cost-based transfers. Determine if required based on customer feedback
- OPM's Period Weighted Average Cost (PWAC)
- OPM's Perpetual Weighted Average Cost (PPAC)
- OPM's last transaction cost (LSTI, LSTT)



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